

† The “bond-discount asset” appears to mean that LTV had purchased some bonds below their par value and was treating that discount as an asset, on the grounds that the bonds could eventually be sold at par. Graham scoffs at this, since there is rarely any way to know what a bond’s market price will be on a given date in the future. If the bonds could be sold only at values *below* par, this “asset” would in fact be a liability.

† We can only imagine what Graham would have thought of the investment banking firms that brought InfoSpace, Inc. public in December 1998. The stock (adjusted for later splits) opened for trading at \$31.25, peaked at \$1305.32 per share in March 2000, and finished 2002 at a princely \$8.45 per share.

* Graham would have been disappointed, though surely not surprised, to see that commercial banks have chronically kept supporting “unsound expansions.” Enron and WorldCom, two of the biggest collapses in corporate history, were aided and abetted by billions of dollars in bank loans.

* In June 1972 (just after Graham finished this chapter), a Federal judge found that NVF’s chairman, Victor Posner, had improperly diverted the pension assets of Sharon Steel “to assist affiliated companies in their takeovers of other corporations.” In 1977, the U.S. Securities and Exchange Commission secured a permanent injunction against Posner, NVF, and Sharon Steel to prevent them from future violations of Federal laws against securities fraud. The Commission alleged that Posner and his family had improperly obtained \$1.7 million in personal perks from NVF and Sharon, overstated Sharon’s pretax earnings by \$13.9 million, misrecorded inventory, and “shifted income and expenses from one year to another.” Sharon Steel, which Graham had singled out with his cold and skeptical eye, became known among Wall Street wags as “Share and Steal.” Posner was later a central force in the wave of leveraged buyouts and hostile takeovers that swept the United States in the 1980s, as he became a major customer for the junk bonds underwritten by Drexel Burnham Lambert.

* The “large dilution factor” would be triggered when NVF employees exercised their warrants to buy common stock. The company would then have to issue more shares, and its net earnings would be divided across a much greater number of shares outstanding.

† Jackie G. Williams founded AAA Enterprises in 1958. On its first day of trading, the stock soared 56% to close at \$20.25. Williams later announced that AAA would come up with a new franchising concept every month (if people would step into a mobile home to get their income taxes done by “Mr. Tax of America,” just imagine what else they might do inside a trailer!). But AAA ran out of time and money before Williams ran out of ideas. The history of AAA Enterprises is reminiscent of the saga of a later company with charismatic management and